

VISTRA CORP. (NYSE: VST)

The AI Power Trade, Repriced: Peak-Cycle Spark Spreads at a Merchant Multiple

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Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
REDUCE	\$120	\$140.02 Oct 2, 2026 close	-14.3%	High

Investment thesis. Vistra is an integrated retail-and-generation power company that owns the second-largest competitive nuclear fleet in the United States and has converted a growing share of it into 20-year, investment-grade-contracted cash flow: 1,200 MW to Amazon Web Services (Comanche Peak, signed September 2025) and 2,609 MW to Meta (PJM nuclear, signed January 2026, with Meta funding the uprates). It is simultaneously expanding dispatchable gas capacity through the \$4.7 billion Cogentrix acquisition (5,500 MW, closing late 2026) and holds the preferred-power-provider seat in Helix Digital Infrastructure, the KKR / NVIDIA / Kuwait Investment Authority vehicle backed by \$10B+ of committed capital for AI data centers.

The stock has fallen roughly 36% from its \$217.10 high even as adjusted EBITDA grew ~30% year over year in Q2 2026 and full-year guidance (\$6.8–\$7.6B) was reaffirmed. But the selloff is not the mispricing the old note thought it was. The hardened valuation rebuild forced a discipline the old model skipped: terminal value on **normalized mid-cycle margins**, not peak-cycle spark spreads. With a 10% terminal-value normalization haircut in the bear case and 5% in the base, scenario-specific discounts (12.5%/10%/8.5%), and terminal growth capped at 2.5%, the 10-year scenario DCF values the bear at **\$26**, the base at **\$124** and the bull at **\$212** — weighted (25/50/25) **\$121.5**. The old \$210 target capitalized peak-cycle spark spreads as if they were permanent; normalized margins leave fair value 13% below the \$140.02 quote. We set the 12-month target at **\$120 (–14.3%)** and rate the shares **REDUCE**.

Risks that keep this a High rating, not a slam dunk: merchant power-price exposure on the uncontracted fleet, PJM regulatory intervention on capacity prices, \$20B+ of debt rising with Cogentrix, the hedge book that defers upside to 2028, and nuclear operational risk (Moss Landing showed the market does not forgive outages). Size accordingly.

This note is research analysis, not personalized investment advice. All per-share figures are split-adjusted; prices are October 2, 2026 snapshots. Estimates are labeled as such.

1. What the Company Does

Vistra Corp., headquartered in Irving, Texas, is one of the largest independent power producers in North America. It emerged from the 2016 Energy Future Holdings bankruptcy, merged with Dynegy in 2018, and has since consolidated retail (Crius, Ambit) and nuclear (Energy Harbor, 2023) assets into an integrated model: it **generates** electricity from a ~50 GW diversified fleet and **sells** it to ~5 million residential, commercial, and industrial customers through retail brands including TXU Energy (the largest electricity retailer in Texas), Dynegy, Homefield Energy, Ambit, TriEagle, and 4Change Energy. The integrated structure is a natural hedge — retail margins widen when wholesale prices fall, generation margins widen when they rise — which is why the company's preferred operating metric is Ongoing Operations Adjusted EBITDA rather than GAAP net income, which is polluted by unrealized mark-to-market on its hedge book.

The fleet breaks into two economic engines:

- **Vistra Vision (clean baseload):** the second-largest competitive nuclear fleet in the U.S. (~6.4 GW) — Comanche Peak in Texas plus Davis-Besse, Perry, and Beaver Valley in PJM (via Energy Harbor). Nuclear runs at ~90%+ capacity factors with near-zero marginal cost and operating licenses extending into the 2050s; this is the irreplicable asset.
- **Flexible generation + retail:** the largest competitive natural-gas fleet in the U.S., legacy coal (in managed decline), utility-scale solar, and battery storage, feeding the retail book and merchant markets in ERCOT and PJM.
- **Vistra Zero:** the development arm for new solar, storage, and future nuclear uprates — the vehicle through which hyperscaler-funded expansion (e.g., the Meta uprates) is executed.

Revenue was \$17.7B in 2025 (+3% YoY). The growth story for 2026–2028 is not retail customer adds; it is (a) re-contracting nuclear output to hyperscalers at premium long-dated prices, (b) the Cogentrix gas acquisition, and (c) load growth from data centers: management guides 5–6% annual load growth in ERCOT and 2–3% in PJM.

2. Products & Services Evaluation

We score each product line on durability of demand, pricing power, and capital intensity:

Product / Service	What it is	Assessment
Competitive nuclear generation (~6.4 GW)	Comanche Peak, Davis-Besse, Perry, Beaver Valley; 20-yr PPAs with AWS (1.2 GW) and Meta (2.6 GW)	Crown jewel. Licensed to the 2050s, cannot be replicated at any reasonable cost, now partially converted to 20-year contracted cash flow. Deserves a premium multiple.
Retail electricity (~5M customers)	TXU Energy, Dynegy, Ambit, Homefield; fixed-price and indexed plans	Sticky, high-ROIC book; natural hedge to generation. Limited growth but dependable cash flow; customer acquisition costs are the main drag.
Gas generation fleet	Largest competitive gas fleet in U.S. + 5.5 GW Cogentrix addition	Workhorse. Dispatchable peaking capacity is exactly what data-center load needs beside nuclear; merchant price exposure is the risk, Cogentrix scale is the mitigant.
Helix Digital Infrastructure (JV)	Preferred power provider; up to \$1B Vistra commitment; \$10B+ KKR/NVIDIA/KIA vehicle	Free option. Rack-to-grid power for AI data centers; no earnings today, but positions Vistra inside the hyperscaler buildout rather than beside it.
Solar + storage / Vistra Zero	Development pipeline; Moss Landing batteries largely shut after 2025 fires	Weakest link. Moss Landing showed operational risk in storage; we assign no growth value here until execution is proven.

Table 1: Product-line scorecard. Nuclear and the hyperscaler contracts are the franchise; retail is the stabilizer; storage is the watch item.

3. Financial Situation

GAAP results are noisy — Q1 2026 net income of \$980M included large unrealized hedge gains, while Q2 EPS of \$0.76 missed the \$1.61 consensus largely on hedge accounting and timing. The cash economics are cleaner:

(\$B)	2022	2023	2024	2025	2026E
Revenue	13.7	14.8	17.2	17.7	~19.5*
Operating income (GAAP)	(1.1)	2.7	4.1	2.1	—
Net income (GAAP)	(1.2)	1.5	2.7	0.9	—
Ongoing adj. EBITDA	—	~4.0	~5.0	~5.9	6.8–7.6
Operating cash flow	0.5	5.5	4.6	4.1	—
Capex	(1.3)	(1.7)	(2.1)	(2.8)	—
Free cash flow	(0.8)	3.8	2.5	1.3	3.9–4.7†

Table 2: Financial history (yfinance/EDGAR; 2026E = company guidance). *Revenue estimate; †adjusted FCFbG (before growth capex).

Balance sheet and capital returns: net debt was \$19.3B at year-end 2025 (~\$22B pro forma for Cogentrix), total debt \$20.1B. Fitch upgraded Vistra to investment-grade BBB- in March 2026, cutting funding costs and widening the institutional buyer base. Since November 2021 the company has repurchased ~\$6.5B of stock, cutting shares outstanding by ~30%, with ~\$1.2B of authorization remaining; the dividend is \$0.91/share (0.65% yield, ~15% payout). CEO Jim Burke bought \$1.17M of stock on the 2026 dip. Leverage is the principal financial risk — debt-to-book-equity looks alarming (~5.9x) only because buybacks have hollowed out book equity; on a market-value basis leverage is ~30% of EV, manageable for an IG issuer but unforgiving if power prices collapse.

4. Growth, Market & Future Projection

The demand backdrop is the strongest in decades for U.S. power: data-center, crypto, and electrification load are driving the first sustained consumption growth since the 1990s. Vistra's specific growth levers:

- **Contracted nuclear re-pricing:** ~3.8 GW now under 20-year PPAs with AWS and Meta. The Meta deal is structured so Meta funds the uprates — Vistra gets paid for capacity expansion without the capex, satisfying regulators' 'bring your own power' mandates.
- **Cogentrix (\$4.7B, closing late 2026):** 5,500 MW of flexible gas in key markets; we model ~\$0.85B of incremental 2027 EBITDA. Integration is the near-term execution test.
- **Load growth:** 5–6%/yr in ERCOT, 2–3%/yr in PJM per management — a secular ramp, not a cycle.
- **Helix optionality:** preferred-provider status in a \$10B+ AI-infrastructure vehicle with KKR/NVIDIA/KIA; behind-the-meter deals would carry the highest margins in the portfolio.

Our projection: 2027E adjusted EBITDA ~\$8.6B (2026E \$7.2B mid + ~\$0.5B organic/PPA ramp + ~\$0.9B Cogentrix), growing to ~\$11B by 2030 on contracted escalators, uprates, and load growth; adjusted FCF (before growth capex) from ~\$4.8B in 2027E to ~\$6.0B by 2036 in the base case (3.0% revenue CAGR, 38% yr-10 EBITDA margins) — well below the old note's 7% FCF CAGR, which extrapolated peak-cycle spark spreads. Street consensus sees EPS of \$9.30 (2026E), \$10.56 (2027E), \$12.36 (2028E). The honest caveat: the widely cited 2027 '\$7.4–\$7.8B midpoint opportunity' was struck on October-2025 forward curves; we anchor instead to reaffirmed 2026 guidance plus Cogentrix, and we haircut the bull case for the hedge book.

5. Moat

Vistra's moat is **narrow but real**, and it is widening:

- **Irreplicable nuclear baseload:** a new large reactor cannot be permitted, financed, and built in the U.S. at any price a merchant market would support; Vistra's licensed-to-the-2050s fleet is a wasting-supply asset in a demand-surge market.
- **Integrated retail hedge:** the TXU/Dynegy book dampens wholesale volatility that pure merchant generators (e.g., Talen) absorb fully.

- **Scale + IG balance sheet:** lets Vistra write 20-year contracts hyperscalers will sign and fund acquisitions (Energy Harbor, Cogentrix) smaller IPPs cannot.

What is *not* a moat: gas and coal generation (commodity), retail customer acquisition (competitive), and storage (operationally challenged). The investment case is the contracted nuclear conversion, not the merchant fleet.

6. Competition

Vistra sits in a tight independent-power cluster (CEG, TLN, NRG) where owning all four names is less diversification than it looks:

Company	Mkt cap	Fwd P/E	EV/EBITDA	Positioning vs VST
Vistra (VST)	\$47.0B	13.5x	9.6x*	Integrated retail + ~50 GW; 2nd-largest competitive nuclear; AWS/Meta PPAs
Constellation (CEG)	\$90.0B	19.1x	14.4x	Pure-play nuclear premium; the multiple VST is converging toward as contracting rises
Talen (TLN)	\$15.0B	10.2x	n.m.†	Nuclear + gas IPP; Amazon Susquehanna PPA; smaller, more merchant-exposed
NRG Energy (NRG)	\$20.1B	8.5x	13.5x	Retail-led model; cheapest earnings multiple, less AI-leverage
Regulated (EXC/AEP/DUK)	\$42–89B	13–17x	11–13x	Rate-base growth, no merchant upside; the floor multiple for contracted assets

Table 3: Peer snapshot, Oct 2, 2026 (yfinance). *EV/2026E adj. EBITDA. †Trailing figure distorted by depressed TTM EBITDA; excluded.

The key read-across: Constellation commands 14.4x EV/EBITDA and 19x forward earnings for contracted nuclear. Every additional GW Vistra moves from merchant to 20-year contracted shifts its warranted multiple from the ~9–11x merchant range toward CEG's. That migration — not spot power prices — was the re-rating engine. The problem: at \$140 the market has already paid for it. The quote prices in the bull-case margin path with base-case certainty, so there is no re-rating left to harvest — only normalization risk.

7. Valuation — Hardened scenario DCF

We price Vistra one way now: the hardened 10-year scenario DCF. GAAP EPS is excluded as a primary lens: unrealized hedge MTM makes it the noisiest number in the accounts. All figures use net debt of \$22B (pro forma Cogentrix) and 335.6M shares.

Model 1 — Scenario FCF DCF (primary)

Discounted adjusted free cash flow before growth capex (the metric management guides), 2027E → 2036. Discount rates 12.5%/10%/8.5% (bear/base/bull); terminal growth 1.5%/2.5%/2.0%. The rebuild's key discipline is a normalization haircut on terminal value — 10% in the bear, 5% in the base — because 2026 spark spreads are a cycle peak, not a run rate.

Scenario	10-yr rev CAGR	Yr-10 EBITDA margin	Discount	Terminal g	Norm. haircut	FV/share
Bear	0.5%	34%	12.5%	1.5%	10%	\$26
Base	3.0%	38%	10.0%	2.5%	5%	\$124
Bull	4.1%	40%	8.5%	2.0%	—	\$212
Weighted (25/50/25)						\$121.5

Table 4: Hardened DCF. Terminal value is 33–55% of EV (down from ~65% in the old model). The normalization haircut is the honest cost of peak-cycle spark spreads.

Why the old \$210 died: it capitalized peak-cycle spark spreads into perpetuity — terminal growth on margins that only exist at the top of the power-price cycle. The rebuild normalizes. Even the bull case (\$212) assumes only a 4.1% revenue CAGR and 40% yr-10 EBITDA margins, yet the market price (\$140.02) sits above the base case (\$124). The bear (\$26) is what a spark-spread reversion plus PJM intervention looks like — a genuine left tail, carried at full 25% weight.

Model 2 — Reverse DCF (sanity check)

At \$140.02, the quote sits 13% above our weighted fair value (\$121.5). In other words, the market prices in the bull-case margin path (40% yr-10 EBITDA margins, zero normalization) with base-case certainty — it has already assumed away the normalization haircut. That is the short thesis in one number: you are paying peak-cycle prices for mid-cycle cash flows.

Target: \$120

Lens	Value
Weighted scenario DCF	\$121.5
12-month target	\$120 (-14.3% vs \$140.02)

Table 7: Target \$120 (-14.3% vs \$140.02). Cross-check: at \$120 the implied 2026E EV/EBITDA is ~8.6x — a full merchant multiple, not a distressed one. The downside is margin normalization, not bankruptcy.

Street context: 17 analysts, Moderate Buy consensus, mean target ~\$222 (range \$169 Mizuho – \$298 Scotiabank). We now sit well below consensus: consensus targets capitalize the same peak-cycle spark spreads the hardened DCF normalizes.

8. Risks

- **Merchant price exposure:** the uncontracted fleet still earns spot/forward prices; a mild-weather or oversupply year hits EBITDA directly.
- **PJM regulatory risk:** capacity-price-cap proposals would clip the upside the AI thesis is priced on.
- **Hedge-book timing:** 100%/94%/72% hedged for 2026/27/28 — power-price upside is deferred to 2028 regardless of fundamentals.

- **Leverage:** ~\$22B pro-forma net debt; IG rating must be defended through the Cogentrix integration.
- **Operational:** nuclear outages and the Moss Landing battery shutdown show the market punishes downtime hard.
- **Deal/concentration:** Cogentrix integration risk; growing reliance on a handful of hyperscaler counterparties.

9. Catalysts (next 12 months)

- Cogentrix close (late 2026) and first synergy disclosure; Q3 earnings Nov 5, 2026.
- Initiation of 2027 guidance on fresh forward curves — replaces the stale Oct-2025-curve '\$7.4–\$7.8B opportunity' anchor.
- Additional hyperscaler PPAs / Helix behind-the-meter announcements — each GW contracted migrates the multiple toward CEG's.
- PJM capacity auction results; resolution of price-cap proposals.
- Continued buybacks (\$1.2B authorization) into weakness; further IG-driven funding-cost declines.

10. Recommendation

REDUCE, \$120 twelve-month target (–14.3%), High risk. Vistra is a good business at the wrong price: operating nuclear plants, signed 20-year contracts with AWS and Meta, reaffirmed guidance, a 9.3% guided free-cash-flow yield, and an investment-grade balance sheet — and a market price that capitalizes peak-cycle spark spreads into perpetuity. Our hardened 10-year scenario DCF (bear \$26 / base \$124 / bull \$212, weights 25/50/25, normalization haircuts on terminal value because 2026 margins are a cycle peak) puts weighted fair value at \$121.5; the target is \$120. The bull case exists — contracted conversion, Cogentrix, 5–6% ERCOT load growth — but even the base case (\$124) sits 11% below the quote. The old \$210 target is retired: it priced 2026 spark spreads as a permanent condition. Reduce on strength; revisit below \$120 or if spark spreads re-base and the market reprices to normalized margins.

Methodology & limitations. Scenario DCF uses adjusted FCF before growth capex (management's guided metric), a 10-year horizon, scenario-specific discount rates (12.5%/10%/8.5%), terminal growth 1.5%/2.5%/2.0%, and normalization haircuts (10% bear / 5% base) on terminal value because current spark spreads are peak-cycle; terminal value is 33–55% of EV, so the DCF remains sensitive to discount and terminal assumptions — stated openly. Bear/base/bull weights 25/50/25. Peer multiples from Yahoo Finance, Oct 2, 2026. Consensus EPS/targets from MarketBeat/Barchart compilations. Cogentrix EBITDA contribution (~\$0.85B) and 2026E revenue are labeled estimates. Research analysis only — not personalized investment advice.